Airtribe

AI FIRST PRODUCT MANAGEMENT · CASE STUDY

Acko: Building Confident First-Time Health Insurance Purchase

A first-time buyer gets a quote and stops. Not because of the price, but because the quote cannot tell them whether the plan will actually pay when it matters.

CURRENT	TARGET	CONDITION
12%	26%	Honest
confirmed purchases	in six months	no buried fine print

MISSION STATEMENT

Acko makes health insurance easier to understand and buy online, helping first-time buyers move from “I should get covered” to a plan they chose, understood and can trust to work when they need it.

Background

Founded in 2016 by Varun Dua, Acko is a digital-first insurer selling motor, health and embedded insurance directly to customers, without an agent in the standard flow. Health started with employee benefits and has since grown into a retail business that buyers can browse and buy in the app.

Health insurance is the hardest product to buy for the first time. The buyer knows they need cover, but is asked to judge room-rent limits, waiting periods, sub-limits, co-pay and exclusions they have never met before, usually while worried about whether a claim will be paid.

Current Scale

From Acko’s FY26 annual report and business press.

FY26 gross written premium	**₹2,732 cr, +32%**	Retail health growth, FY26	**55%, fastest segment**
FY26 profit after tax	**₹43.6 cr**	FY25 result	**₹193.4 cr loss**
Claims ratio, FY26	**66.3%**	Claims processed, FY26	**4,92,694 of 4,99,560**
Health claim settlement	**~95.75%, reported**	IPO	**Confidential filing, H2 2026**

Market Context

- India’s health insurance market is under-penetrated, and many first-time buyers buy at the moment a parent, a child or their own health makes it feel urgent.
- Competing paths include aggregators, other insurers’ websites, agents, bank relationship managers, employer group cover, and advice from family and friends.
- Most digital buyers shortlist on premium, sum insured and claim settlement ratio, which are easy to compare and say little about how a plan behaves at claim time.
- The features that decide real value, such as room-rent limits, waiting periods, sub-limits, co-pay and exclusions, are the hardest for a first-time buyer to read.
- Premiums are personalised after a buyer’s details and medical history are assessed, so two buyers rarely see the same price or plan variant.
- Insurance sales are regulated by IRDAI, so disclosures, exclusions and consent cannot be shortened to lift conversion.

The Core Problem

A first-time buyer who generates a quote has clear intent to buy cover. But a quote is a price, not a decision. They still have to work out whether the plan will actually pay when it matters, what “waiting period” and “sub-limit” mean for them, and whether the cheaper plan hides a gap the dearer one does not.

> **Showing more plans and more features does not build that confidence. Acko becomes more useful if it helps the buyer understand the trade-offs in plain language, choose cover that fits their situation, and leave knowing what is and is not covered.**

PROBLEM STATEMENT

For this capstone, assume that among **first-time health insurance buyers who generate a quote on Acko**, only **12%** complete a confirmed purchase within **14 days**.

A **confirmed purchase** is one where the buyer made their own coverage selections, sum insured, plan variant and add-ons, and confirmed them before paying. Agent-assisted overrides do not count.

SUCCESS TARGET · 6 MONTHS

12% → 26%

Buyers who rightly decide not to buy stay in the cohort. The guardrails exist so the rate is not lifted by pushing hesitant buyers.

Your Challenge

As a **Product Manager at Acko**, help first-time buyers understand, compare and confidently buy a health plan, increasing the 14-day confirmed purchase rate from **12% to 26%**.

- Must focus on first-time buyers who do not know insurance terms
- Must help buyers understand, compare and choose, not only reach checkout
- Must communicate exclusions, waiting periods and uncertainty honestly, with no fine print buried to lift conversion
- Must keep IRDAI-required disclosures, consent and underwriting intact, and must not give personalised financial or medical advice
- Must work in vernacular languages and for buyers purchasing for parents or family
- Must not rely only on discounts, coupons, fear-based messaging or aggressive notifications

Out of Scope

Underwriting rules · premium pricing · claims operations · hospital network expansion · agent and partner distribution · regulatory policy · payment gateway redesign · customer-support staffing.

STEP 1 Market & User Research

Understand why first-time buyers who get a quote do not complete a purchase.

Research Questions: Draft 5 to 7 questions that uncover what drives and blocks a confident first purchase.

Research Plan: Choose your buyer segments and methods, and outline a timeline.

User Interactions: Talk to at least 20 users, a mix of people who generated an Acko quote and people who bought elsewhere or postponed. Ask about real recent decisions.

Product Teardown: Walk quote-to-purchase on Acko and at least two alternatives. Document how limits, waiting periods and exclusions are shown at each step.

Competitive Analysis: Study how buyers decide through aggregators, other insurers, agents, banks, employer cover and family advice.

Anticipated Barriers: List the top 3 to 5 expected blockers to a confident purchase.

💡 *You are encouraged to use AI tools to generate research hypotheses, summarise interviews or cluster feedback.*

WHAT TO SUBMIT

- Research questions and hypotheses
- Research plan
- Evidence of user interactions
- Product teardown of the buying flow
- Competitive analysis table
- Personas and anticipated barriers

STEP 2 Frame the Problem

Articulate why a buyer with a quote in hand does not buy.

Refined Problem Statement: Write a sharp statement of the primary barrier, backed by 1 to 2 user quotes or observations.

Funnel Deep-Dive: Break the journey into stages and identify where the steepest drop-off occurs.

Primary Barrier: Name the single barrier with the strongest effect on the confirmed purchase rate. Separate symptoms from the underlying cause.

Business Impact: Connect the barrier to the opportunity in moving from 12% to 26%.

WHAT TO SUBMIT

- Refined problem statement
- Funnel visual with drop-off points
- Primary barrier with rationale
- Business impact analysis

STEP 3 Solution Ideation & Prioritization

Generate a broad set of solutions, then narrow to the ones worth building.

Brainstorm: Propose 10 to 15 solutions that move a first-time buyer from a quote to a confident purchase.

Prioritization: Use RICE or similar to rank solutions on impact and feasibility.

Top 2 Solutions: Select 2 and explain why you chose them over the rest.

Trade-off Analysis: State what each optimises for and sacrifices, especially between clarity and speed, and between simplicity and full disclosure.

WHAT TO SUBMIT

- Idea list of 10 to 15
- 2 shortlisted solutions with rationale
- Prioritization table
- Trade-off analysis

STEP 4 Design Experience, PRD & Prototype

Translate your solution into a real buying experience.

Experience Flow: Map the journey from quote to confirmed purchase, showing how your solution fits the broader flow.

PRD: Document problem, users, solution, scope, success metric and out-of-scope.

Prototype: Build a working prototype of the core flow plus 2 to 3 existing screens.

Design Rationale: Annotate how jargon is explained, how exclusions are shown honestly, and how the flow stays quick.

💡 *Low-fidelity wireframes are fine. Tools like Figma, Lovable or Replit can speed this up.*

WHAT TO SUBMIT

- User journey map
- Interactive prototype link
- PRD
- 2 to 3 annotated screens

STEP 5 Go-to-Market, Growth Loop & Business Impact

Define how the new buying experience launches, grows and creates impact.

Launch Plan: Define which buyer segment or language you launch to first.

Growth / Behaviour Loop: Design a loop where a confident first purchase leads to renewal, a family add-on or a referral.

Business Impact Model: Model how moving 12% to 26% affects policies, premium and renewals, and what it costs if comprehension slows the flow.

Rollout: Outline a cohort-based rollout approach.

WHAT TO SUBMIT

- Go-to-market plan
- Growth / behaviour loop diagram
- Business impact model
- Cohort rollout plan

STEP 6 Metrics & Success Measurement

Define how success is measured.

North Star Metric: Define the metric that best reflects confident purchase, with a target.

Supporting Metrics: Include leading and lagging indicators that validate the strategy.

Guardrail Metrics: Define guardrails against free-look cancellations, post-purchase confusion, claim disputes over misunderstood terms, and purchases that never saw key limits.

Event Tracking: Specify the key product events to track.

WHAT TO SUBMIT

- North Star Metric with target
- Supporting metrics
- Guardrail metrics
- Event tracking specification

STEP 7 Risks, Trade-offs & Constraints

Demonstrate judgment about what could fail.

Risks: Include regulatory risk, explanations that are wrong or oversimplified, and conversion that rises alongside regret.

Trade-offs: Show what you consciously chose not to optimise for, and why.

Constraints: Acknowledge the regulatory, underwriting and product constraints that shape v1.

What You Will Not Build: State what you are leaving out, and how you avoid acting as an unlicensed advisor.

WHAT TO SUBMIT

- Risk assessment with mitigations
- Trade-off analysis
- Constraints and assumptions

STEP 8 Vibe Coding & Automation (Optional)

Build a small AI artifact that supports your solution.

Identify the Use Case: Pinpoint where AI or automation creates leverage in the buying experience.

Build It: Create a working artifact. Show how it avoids stating anything the policy wording does not say.

Show the Fit: Explain how the artifact fits into the user journey.

💡 *The goal is to show you can prototype a working piece with AI tools.*

WHAT TO SUBMIT

- Working demo
- How it fits the journey
- Prompts and logic used

STEP 9 Final Storytelling & Presentation

Tell a coherent end-to-end story, as if presenting to your leadership team.

Deck: Structure it around the why, the what, the how, and the what next.

Video: Record a conversational walkthrough of your story, thinking and prototype.

WHAT TO SUBMIT

- Deck: 15 to 20 slides
- Prototype links
- Loom: around 15 minutes
- Research, PRD, prioritization, metrics

BEFORE YOU SUBMIT

A quote is a price, not a decision. Your work should show how a first-time buyer comes to understand what they are buying, without anything being hidden to get them there.